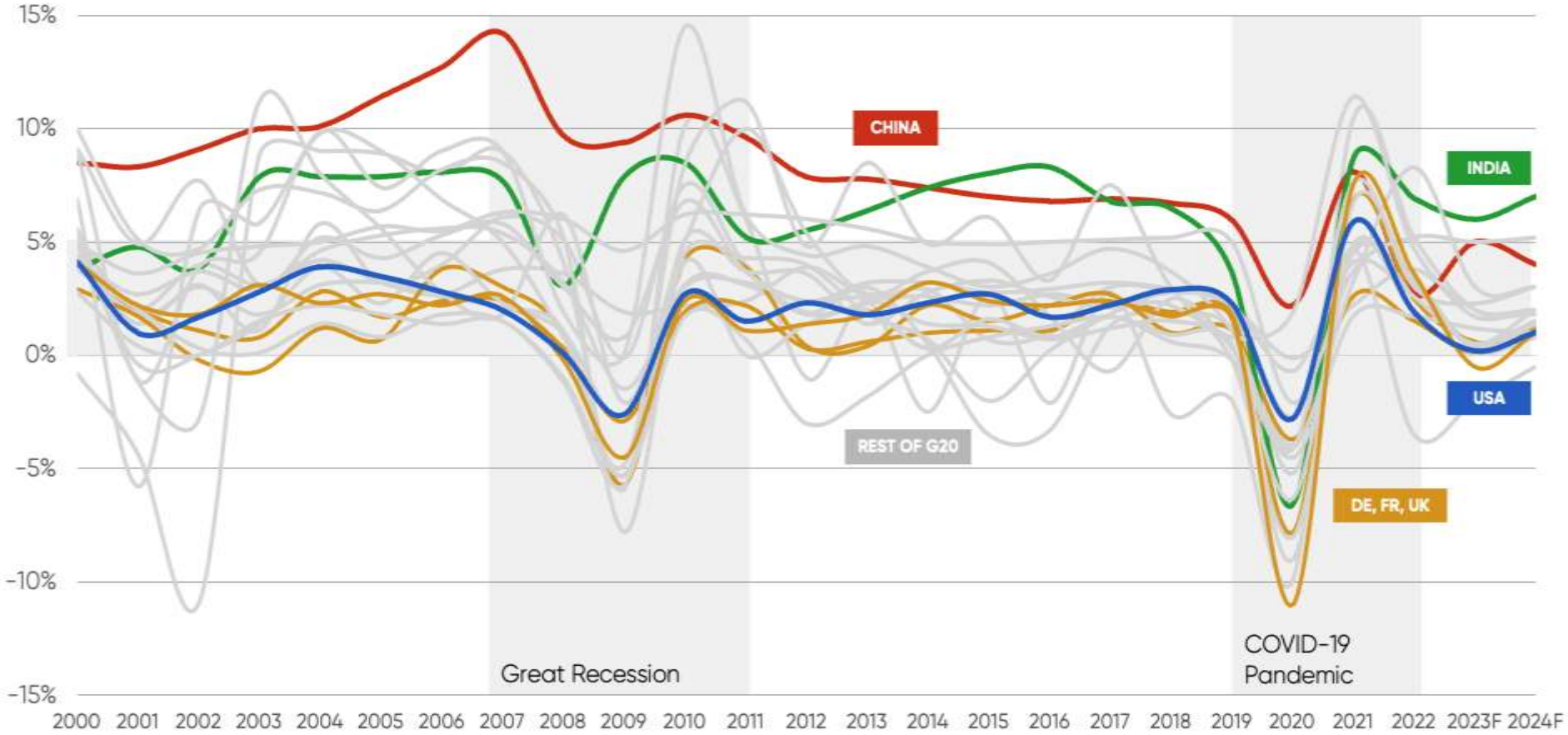
Holon IQ

# G20 GDP Growth, 2000-2024F




Source. HolonIQ forecasts as at Mar 3, 2023. IMF and World Bank historical GDP growth figures.

- Looking over the horizon, China will overtake the US and become the world's largest economy around 2035 with India overtaking the US around 2075.

# From the G7 to the G20

The last quarter of the 20th century saw a massive expansion of formal and informal intergovernmental consultation bodies with a goal of global economic stability. Their origin lay in the small but select informally G7.

# Economic Integration

the G20 is up. It is made up of 19 countries plus the European Union. Together, these countries globally account for 90% of gross national product, 80% of world trade and 75% of the world population.

# Definition and forms of economic integration

- **Unlike transactions within the same country, international transactions face barriers as a result of:**

  ⇨**Economic borders.**

  Associated with protectionist policies that discriminate against foreign products in favor of national ones.

  ⇨**The diversity of currencies.**

  Which forces a currency exchange in markets subject to uncertainties and costs.

  ⇨**Restrictions on the mobility of factors.**

  Specific micro and macroeconomic policies for national industries

**Economic integration aims to eliminate those differential characteristics**

# Definition and forms of economic integration

**There are different modalities of economic integration according to the type of barrier to international transactions that is being eliminated**

| DENOMINATION | DESCRIPTION |
|---|---|
| ***Preferential agreements*** | *Countries grant each other a series of preferences (reduction of tariffs or other forms of protection)." This is often part of the structure of preferential trade agreements.* |
| **Free Trade Area (FTA)** | Member countries eliminate tariffs among themselves, but maintain their own trade policy towards third parties |
| **Custom Union** | It implies the elimination of tariffs and the establishment of a common **external** tariff |
| **Common Market** | In addition to the free movement of goods and services, it includes the free movement of **labor** and capital |
| **Economic Union** | Implies the coordination of economic policies. This is typically in reference to the efforts within an economic union to harmonize fiscal, monetary, and other economic policies among member countries. |
| **Monetary Union** | Includes the adoption of a single currency |

# Definition and forms of economic integration

**The motivations that lead countries to undertake these processes are of various kinds:**

**Economic**

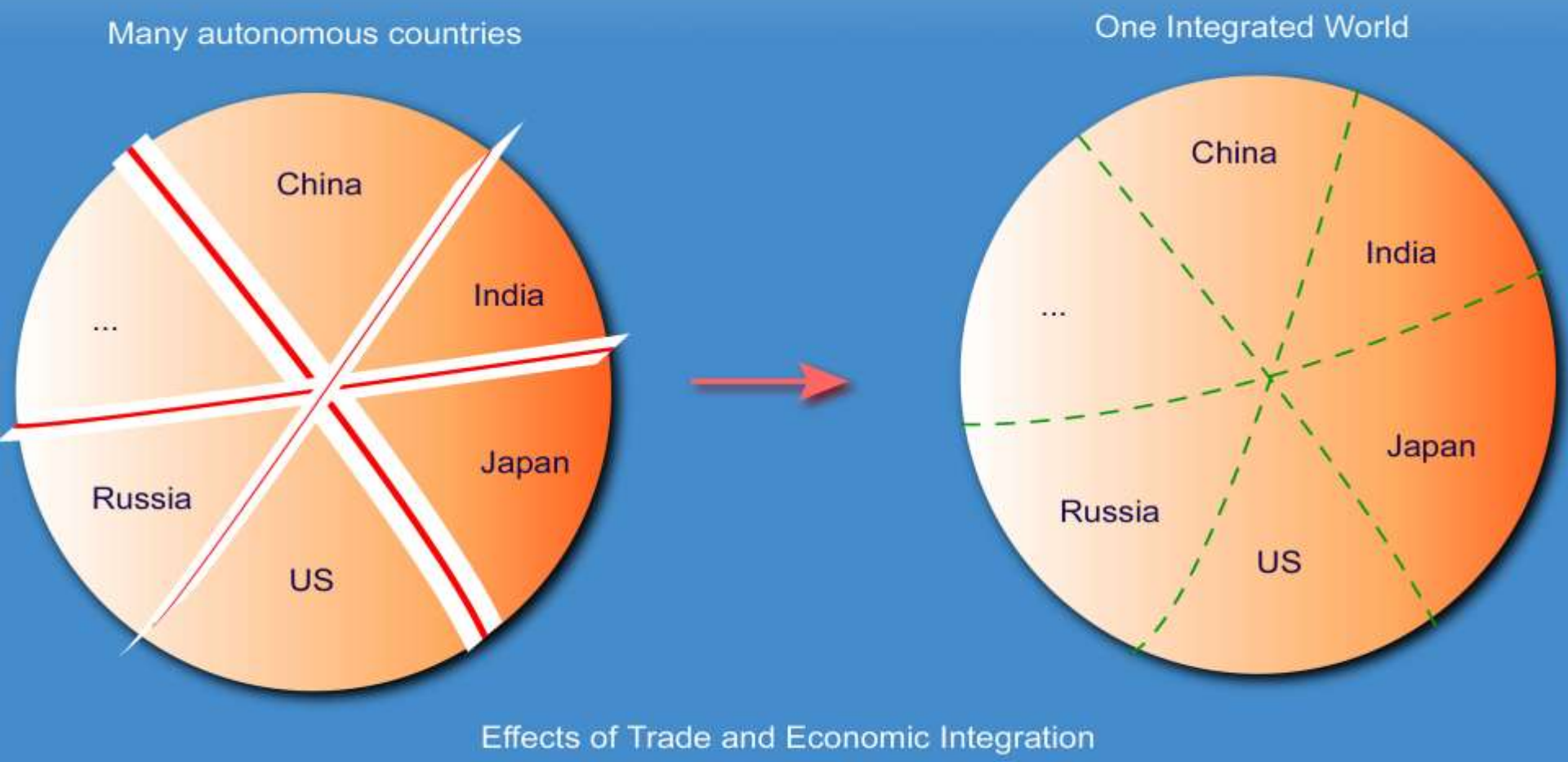
Markets are expanded.
Competition increases.
This helps to accelerate the rate of growth.

**Political**

The intersection of economic interests helps to reduce tensions and confrontations between countries.
An integrated area carries more weight on the international stage.
It helps to find joint solutions to global problems (environmental, migratory, etc.

**Security**

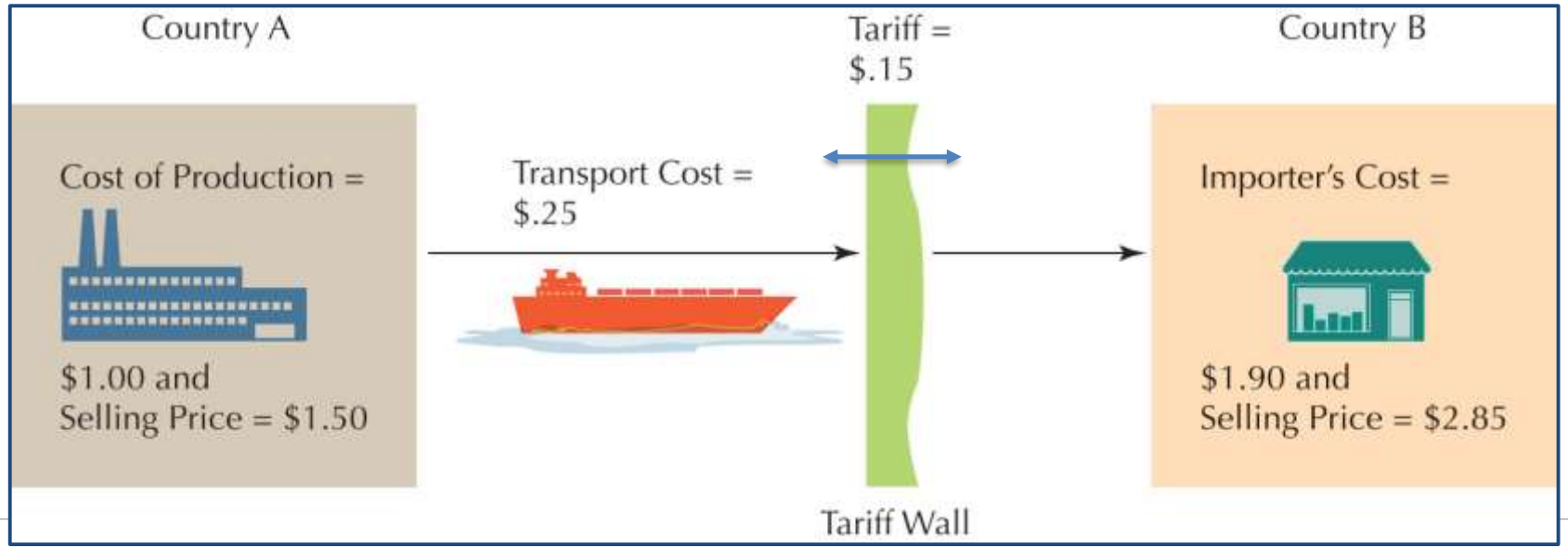
# Economic Integration



# Economic Integration

Price Escalation in Exporting if Companies Use Cost-plus Pricing

1) Please calculate the benefit of the country A and B ??
2) Please include the economic integration and calculate the new benefit for the importer
3) What kind of **agreement** could you find between the seller A and the buyer B?

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# 3 Latin America/ South America

Economic forces

**South America** is the fourth largest continent in the world and covers an area of 6.89 million square miles. The continent is made up of 12 sovereign **countries**: Colombia, Bolivia, Argentina, Chile, Peru, Uruguay, Brazil, Paraguay, Venezuela, Guyana, Suriname, and Ecuador.

The Southern Common Market (**MERCOSUR** for its Spanish initials) is a regional integration process, initially established by Argentina, Brazil, Paraguay and Uruguay, Its official working languages are Spanish and Portuguese.

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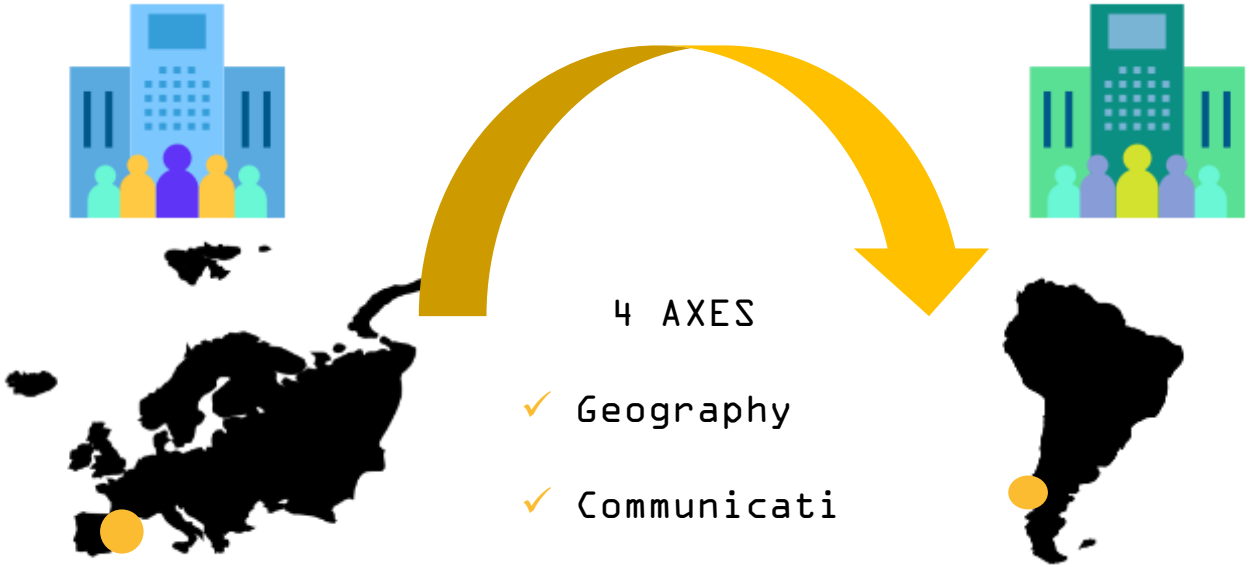
# Economic Integration and the International Manager

## Cultural and structural changes



4 AXES

- ✓ Geography
- ✓ Communication
- ✓ Law
- ✓ Culture

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